

190⁹.

Foreign Department.

ESTABLISHMENT—^D~~B~~.

Progs. ^{April} 190⁹, Nos. 33

16 pages, with Notes.

Subject.

Repair to the Sultan of Maskeo steamer free of cost.

work to be undertaken in the Bombay Dockyard.

For references to former and later cases see within the cover.

No. 67.

(2)
References to former cases.

Branch, date and Nos.

Brief title of file.

Let B Jan 09 Nos 38-39

Sanction to excess expenditure
for repairs to the Mus-ul-
Bahr, Sultan of Meskat
Steamers.

Let A. Oct 08 Nos 6-8

Repairs to the Steamers
belonging to H. H. the
Sultan of Meskat.

only
91. 821
Confidential.

Foreign Dept

3

MARINE DEPARTMENT.

NOTES.

SHIPS—REPAIRS.

PRO. B Decr 1908.

Nos. 2448-70.

REPAIRS TO THE SULTAN OF MASKAT'S STEAMER, FREE OF COST—
WORK TO BE UNDERTAKEN IN THE BOMBAY DOCKYARD.

[FOREIGN DEPARTMENT NOTES.]

FROM MAJOR W. G. GREY, POLITICAL AGENT AT MASKAT, NO. K.-3, DATED THE 6TH (RECEIVED
9TH) SEPTEMBER 1907.

*Recommends that certain repairs required to the Sultan of Maskat's steamer should be carried
out by the Government of India free of charge.*

We may in the first place refer the file unofficially to the Marine Department for favour of
note as to whether the Bombay Dockyard can undertake the necessary repairs, and, if so,
whether they can furnish us with an estimate of the probable cost, on the report of the engineer
officer of the *Lapwing*. Finance Department sanction will be necessary.

G. L. T.,—9-9-07.

R. E. Holland,—11-9-07.

H. Dobbs,—11-9-07.

Marine Department.

The Director, Royal Indian Marine, may be asked unofficially kindly to say whether
repairs to the Sultan's steamer *Nur-ul-Bahr* could be undertaken by the Bombay Dockyard,
and, if so, to furnish this Department with an estimate of the probable cost.

A. C. B.,—16-9-07.

J. K.,—16-9-07.

G. A. Robertson,—17-9-07.

Director, Royal Indian Marine.

The repairs to the *Nur-ul-Bahr* can be undertaken in this dockyard. An estimate on
Defect List Form in original amounting to Rs. 2,905 is herewith enclosed, observing however
that it can only be considered as very approximate, based on the information furnished, and on
opening out it is not at all unlikely that many other defects will be discovered as is always
the case under similar circumstances, particularly when a vessel has been so long without an
overhaul. Under the circumstances mentioned in this file, no departmental commission has
been added to the estimate, but in the event of it being decided to consider its work for a
Foreign State it will be necessary to add 25 per cent. thereto.

G. H. Hewett,—1-10-07.

Marine Department.

The point raised in the last sentence of the Director's note is for orders.

S. C. B.,—4-10-07.

There does not seem much doubt as to Maskat being a Foreign State, but if Foreign
Department think the charge ought to be waived, as perhaps they will, we may forego it with
the concurrence of the Finance Department.

G. A. Robertson,—7-10-07.

Maskat is undoubtedly a Foreign State, and I do not think that the establishment charges should be waived. They are as much a part of the cost of the work as the provision of materials.

E. W. S. K. Maconchy,—8-10-07.

Foreign Department.

Please see the note by the Director, Royal Indian Marine, dated the 1st October. The approximate estimated cost of carrying out the repairs is Rs. 2,905 exclusive of a departmental charge of 25 per cent. Major Grey, who has sent a copy of his letter to the Resident, recommends that the repairs should be carried out free of charge to the Sultan, and, as we shall have to obtain Finance Department sanction if the proposal is agreed to, we may ask the Resident if he concurs in the Political Agent's recommendation.

Draft telegram for approval.

G. L. T.,—10-10-07.

C. O'H. T.,—10-10-07.

May issue.

R. E. Holland,—10-10-07.

H. Dobbs,—10-10-07.

TELEGRAM TO THE POLITICAL RESIDENT IN THE PERSIAN GULF, No. S.-473, DATED, THE 12TH OCTOBER 1907.

Asks if he concurs in the Political Agent's recommendation.

TELEGRAM FROM MAJOR P. Z. COX, C.I.E., POLITICAL RESIDENT IN THE PERSIAN GULF, No. 112, DATED THE 13TH (RECEIVED 14TH) OCTOBER 1907.

Supports Major Grey's recommendation that the repairs to the Sultan of Maskat's steamer should be carried out free of charge by the Government of India.

We may now perhaps refer the file to the Finance Department for favour of sanction to the charge for the reasons put forward by Major Grey.

G. L. T.,—15-10-07.

C. O'H. T.,—15-10-07.

R. E. Holland,—15-10-07.

The proposal is stated in the office note of 10th October 1907. The arguments put forward by Major Grey are—

- (1) that the Sultan should be shown some mark of Government's satisfaction for the self-restraint of his Masirah and Mahot subjects is not looting the wrecked Hamburg American liner *Teutonia* and in helping the Captain and crew;
- (2) that many people had represented to the Sultan that he was "done" by the Government of India when his steam yacht was obtained for him by them in 1903, and that the carrying out of repairs to her *gratis* will efface this disagreeable impression from his mind.

2. As Major Cox supports the proposal, we may recommend it to Finance Department.

H. Dobbs,—15-10-07.

I agree.

The steamer is of distinct use to us as assisting in maintaining the Sultan's authority at Sur and other points on the coast.

L. W. Dane,—16-10-07.

Finance Department.

The question is one which should be referred to the Military Finance Branch.

P. K. M.,—18-10-07.

I think so. If they agree, will they kindly deal with the case.

H. F. Howard,—19-10-07.

Military Finance Branch.

In the circumstances explained in Mr. Dobbs' note, dated 15th October 1907, this Department may, perhaps, agree to the repairs to the Sultan's steamer being carried out free of charge. The approximate estimated cost involved is Rs. 2,905.* Military Supply Department may see before the file is returned to the Foreign Department.

A. B. G.,—24-10-07.

W. C. G.,—25-10-07.

We may agree to the proposal and ask the Military Accountant-General to advise as to the incidence of the cost.

J. A. Longridge,—23-10-07.

If we had any assurance that the repairs to His Highness's yacht would be kept within the estimated demand, we might agree, though the grounds quoted for our doing so in Mr. Dobbs' note of 15th October 1907 are perhaps lacking in force. The Director, Royal Indian Marine, however, seems to anticipate that the repairs required may be very considerable.

2. Would it not be possible to inform the Sultan that provided the repairs required were unimportant, we should be glad to carry them out free of cost, but if, after having been thoroughly overhauled, it was found that the necessary repairs to the yacht were very extensive, he would be expected to pay for them.

O. C. Armstrong,—29-10-07.

The proposal is that the Government of India should repair a steamer belonging to the Sultan of Maskat free of charge. The Marine authorities have not yet overhauled the steamer and cannot therefore give any real idea as to the probable cost of repairs, *vide* the Director's note of 1st October 1907. I think that no assurance that the Government of India will effect the repairs free of charge should be given till the steamer has been sent over and overhauled and an accurate estimate prepared, and the question has then been further considered by the Government of India.

J. B. Brunyate,—3-11-07.

I agree.

E. N. [Baker],—4-11-07.

Foreign Department.

Draft letter submitted. It might be added that in the event of the Sultan agreeing to have the vessel thoroughly overhauled, arrangements should be made for its despatch to Bombay and telegraphic intimation sent to this Department.

G. L. T.,—8-11-07.

C. O'H. T.,—8-11-07.

R. E. Holland,—9-11-07.

H. Dobbs,—9-11-07.

LETTER TO THE POLITICAL RESIDENT IN THE PERSIAN GULF, No. 4433-E.B., DATED THE 13TH NOVEMBER 1907.

Suggests that the Sultan of Maskat's yacht should be sent to the Bombay Dockyard for examination.

LETTER FROM THE POLITICAL RESIDENT IN THE PERSIAN GULF, No. 2750, DATED 29TH DECEMBER 1907 (RECEIVED 8TH JANUARY 1908).

Forwards copy of a letter received by him from the Political Agent, Maskat, regarding the proposal to effect certain repairs to the steamer belonging to His Highness the Sultan of Muskat free of charge.

For information. We may act as asked by the Sultan and defer consideration of the case till we hear again from the local political authorities. Marine Department may see the file unofficially. Need the papers go to the India Office with the Secretary's weekly letter.

† Not necessary.

R. E. Holland.
H. Dobbs.

C. O'H. T.,—10-1-08.

R. E. Holland,—11-1-08.

H. Dobbs,—11-1-08.

Marine Department.

Seen in the Marine Department.

A. C. B.,—14-1-08.

S. C. B.,—14-1-08.

G. A. Robertson.

Foreign Department.

No orders.

C. O'H. T.,—17-1-08.

W. F. O'Connor,—18-1-08.

[NOTES IN THE FOREIGN DEPARTMENT.]

TELEGRAM FROM THE POLITICAL RESIDENT IN THE PERSIAN GULF, No. 61, DATED (AND RECEIVED) 22ND JANUARY 1908.

States that the Sultan of Maskat is anxious to send his steamer for repairs on the 18th April next, and that he is unable to afford more than Rs. 4,000 for the repairs at present.

The approximante cost of carrying out the repairs was estimated, by the Director of the Royal Indian Marine, at Rs. 2,905 *plus* a departmental charge of 25 per cent; this estimate was only tentative and was based on the information furnished by the Engineer officer of H. M. S. *Lapwing*. The Engineer of H. M. S. *Perseus* is however of opinion that the vessel can be put in thorough repair at Rs. 5,000. This estimate is perhaps some reliable. The Political Resident solicits a reply as to whether we agree to defray the whole or portion of the cost, *viz.*, of the Rs. 5,000 mentioned. The question of our bearing any portion of the cost of repairs has been held up till the steamer has been examined and an accurate estimate prepared by the Director, Royal Indian Marine (*vide* note of the Financial Department, dated the 4th November 1907). These views were communicated to the Political Resident in our letter No. 4433-E.B., dated the 13th November 1907. Major Cox refers to our letter and intimates that in the absence of an accurate estimate the Sultan desires partial repairs executed up to a sum of Rs. 5,000, of which he is agreeable to pay Rs. 4,000 if required. Major Cox may be told that the Bombay Dockyard authorities have been acquainted of the intention of the Sultan to send his steamer for repairs to Bombay on the 18th April next, but that the question of incidence of cost will be left over till the vessel has been thoroughly examined. Since, should any damage occur to the vessel due to her machinery, etc., it is not unlikely that the partial repairing may be made an excuse for demanding complete restoration later. Financial and Marine Department may see unofficially.

D. O'F.,—24-1-08.

C. O'H. T.,—24-1-08.

Perhaps in view of Major Cox's last telegram the question of the incidence of the cost of these repairs may be reconsidered.

2. Two estimates for the cost of the repairs have now been received—(a) the dockyard estimate of Rs. 3,631 (Rs. 2,905 + 25 per cent.) and (b) the estimate of the Engineer of H. M. S. *Perseus* for Rs. 5,000.

3. These two independent estimates would seem to point to the conclusion that the desired repairs will probably not cost more than Rs. 5,000, and that the vessel can at any rate be rendered practically seaworthy by the expenditure of this sum.

4. It would appear especially desirable at the present moment to evince friendly attitude towards the Sultan in view of the forthcoming arms conference in connection with which Maskat is perhaps the point whereat Indian interests are most nearly affected * The present

* See Mr. Holland's note on the subject.

would seem an opportune occasion for strengthening our influence over the Sultan.

5. As the Sultan himself can only afford to expend a sum of Rs. 4,000 on the desired repairs, it would perhaps scarcely be fair on him to ask him to lay up his launch for a considerable period without our definite guarantee that it could eventually be repaired within his means.

6. In view of the various circumstances of the case I would suggest that—

- (a) the Government of India might consult to undertake repairs to the launch at their own cost up to a limit of Rs. 5,000; and
- (b) if after overhauling it should be found that repairs costing more than this sum were desirable, the Sultan should be informed of the circumstances and asked whether he wished to bear the additional cost.

7. It will be observed that Major Cox and the Political Agent at Maskat both recommend some expenditure by the Indian Government in the matter, in view of the Sultan's co-operation in the regulation of the arms traffic.

W. F. O'Connor,—25-1-08.

Two reasons in favour of our paying for the repairs to the Sultan's vessel are given in Mr. Dobbs' note, dated the 15th October 1907. I agree with Assistant Secretary that in view of the approaching Arms Conference, it has now become additionally important that we should lose no opportunity of strengthening our influence over the Sultan, and I would recommend that, if Finance Department agree, the Political Resident should be informed that the Government of India will, as a special concession, undertake whatever repairs to the steamer *Perseus*.

* It may be expected to be fairly accurate.

R. E. Hollow.

are necessary at a maximum cost of Rs. 5,000, the estimate* framed by the Engineer of H. M. S.

2. The Director, Royal Indian Marine, could be asked to let us have an accurate estimate of the cost of the repairs needed, on the arrival of the boat at Bombay, and if the total exceeded Rs. 5,000 by any appreciable amount, it could then be considered whether some unessential portion of the repairs should be left undone, or whether the Sultan should be invited to pay for them himself, within the limit Rs. 4,000, which he has expressed himself willing to spend.

R. E. Holland,—27-1-08.

I hope that the Financial Department will accept as sufficient the estimate of the Engineer of the *Perseus*.† The matter has been going on since September, and the act of grace will lose much of its gracefulness with delay. Evidently not a large expenditure is concerned. The local authorities attach much importance to the concession; and although I am not prepared to press the original grounds on which the proposal was made (*viz.*, that some of the Sultan's subjects had not behaved like savages, and some ill-disposed persons were telling the Sultan that we had "done" him), it seems to be important to have the Sultan whole-hearted with us now. I would make the concession as graceful as possible, and not talk of maximum cost, etc., but simply say that the Government will be glad as a special consideration to the Sultan to carry out the repairs which the Engineer of H. M. S. *Perseus* has recommended free of cost.

† Rs. 5,000 to put it in thorough repair.

S. H. Butler,—27-1-08.

Finance Department.

Please see page 3 of notes. This Department decided that Government should give an assurance to repair, free of charge, the Sultan of Muskat's steamer, until the vessel had been overhauled by the Marine authorities and an accurate estimate of cost prepared.

2. It is now reported that the Engineer of H. M. S. *Perseus* considers that vessel can be put into thorough repair at a cost of Rs. 5,000. The Sultan is agreeable to pay Rs. 4,000.

The Foreign Department, for the reasons given above, consider that Government should carry out, free of charge, the repairs which the Engineer of the *Perseus* has recommended.

4. We may concur in the views of the Foreign Department and pass the file on to the Military Accountant-General for consideration of the incidence of the cost.

A. B. G.,—30-1-08.

W. S.,—30-1-08.

I think we may concur in the special circumstances of the case as set forth in Mr. Holland's and Mr. Butler's notes of 27th January 1908.

J. A. Longridge,—30-1-08.

As the proposal to repair the Sultan of Maskat's steamer in the Bombay Dockyard free of

I doubt if this consideration can affect the incidence of the charge, but Comptroller General should be consulted. The most expeditious course will be for Foreign Department to ask Military Supply Department to concur in the proposal (including the acceptance of the charge if Comptroller-General should decide that it is debitable to Marine), and leave the reference to Comptroller-General to be made later.

Yes.

J. B. Runyate.
H. N. B[aker].

charge is recommended on political grounds, the charge should not, strictly speaking, be borne by the Marine Department, but by the Civil (Political) Department.

But as the amount† involved is not large, and as the Royal Indian Marine is maintained in the interests of the Government of India as a whole, we need not perhaps press for the reimbursement of this sum to the Marine.

† About Rs. 5,000.

B. M. Marlow,—31-1-08.

We may agree to the Foreign Secretary's proposal. As regards incidence, will Hon'ble Member please see my marginal note above.

J. B. Brunyate,—1-2-08.

E. N. B[aker],—2-2-08.

Foreign Department.

The case may now be passed on to the Marine Department for their concurrence in the proposed action, attention being drawn to the marginal note by Mr. Brunyate, dated 1st February 1908, on page 5.

C. O'H. T.,—5-2-08.

W. F. O'Connor,—6-2-08.

R. E. Holland,—6-2-08.

Marine Department.

This Department may concur in the proposed action and return the file to the Foreign Department.

J. K.,—7-2-08.

This Department concurs in the proposal, and will accept the charge, if it is properly debitable to Marine.

G. A. Robertson,—7-2-08.

Foreign Department.

Draft telegram and endorsement for approval.

G. L. T.,—8-2-08.

C. O'H. T.,—8-2-08.

W. F. O'Connor,—8-2-08.

R. E. Holland,—10-2-08.

S. H. Butler,—10-2-08.

From 2448

FROM FOREIGN DEPARTMENT, No. 606, DATED 13TH (RECEIVED 14TH) FEBRUARY 1908.

Forwards copy of correspondence in connection with the repairs to the Sultan of Maskat's steamer.

Copy of the correspondence may be communicated to the Director, Royal Indian Marine, with a request that the work may be undertaken in the Bombay Dockyard. Foreign Department may then be asked kindly to supply us with a copy of the earlier notes to complete our file.

J. K.,—19-2-08.

S. C. B.,—19-2-08.

W. H. F. Basevi,—20-2-08.

From 2449 20

DIRECTOR, ROYAL INDIAN MARINE, No. 255-M, DATED 24TH FEBRUARY 1908.

Forwards a copy of the above correspondence.

From 2450

FROM FINANCE DEPARTMENT (MILITARY FINANCE), No. 540-G., DATED (AND RECEIVED) 22ND FEBRUARY 1908.

Forwards copy of correspondence in connection with the repairs to the Sultan of Maskat's steamer.

Necessary action has been taken on the copy of the correspondence received from the Foreign Department direct. Submitted for information before the file is sent to the Foreign Department, *vide* notes on pre-page.

J. K.,—27-2-08.

S. C. B.,—27-2-08.

W. H. F. Basevi,—28-2-08.

Foreign Department.

A copy of the portion of the notes not already supplied is placed below and may be sent unofficially to the Marine Department.

G. L. T.,—5-3-08.

C. O'H. T.,—5-3-08.

J. H. Bill.

The notes now furnished have been placed in their proper position. The case may be recorded.

J. K.,—9-3-08.

S. C. B.,—9-3-08.

FROM THE DIRECTOR, ROYAL INDIAN MARINE, No. 1524, DATED 5TH (RECEIVED 11TH) MARCH 1908. *From 2451*

Inquires whether the repairing of the "Nur-ul-Bahr" is to be limited to Rs. 5,000, or whether the vessel is to be put generally into such a fit state of repair as he may consider necessary.

Please see pages 2—3 of correspondence and 6 of notes. The Engineer of H. M. S. *Perseus* placed the cost of the repairs at Rs. 5,000, the Director, Royal Indian Marine, apparently considers this to be an under-estimate and hence his inquiry.

2. Please paragraph 2 of Mr. Holland's note, dated 27th January 1908. It is presumably the intention that the repairs should be as thorough as possible, and perhaps the best course would be to ask the Director, Royal Indian Marine, to submit an accurate estimate of the cost of the repairs needed, on the arrival of the vessel. Foreign Department may be consulted unofficially.

3. It is understood that the Foreign Department will make the reference to the Comptroller General as regards the incidence of the cost.

J. K.,—13-3-08.

S. C. B.,—13-3-08.

TO FOREIGN DEPARTMENT, No. 556-M., DATED 23RD APRIL 1908. *From 2457*

Forwarding a copy of the above letter.

TELEGRAM FROM DIRECTOR, ROYAL INDIAN MARINE, No. 192, DATED 2ND (RECEIVED 4TH) MAY 1908. *From 2458*

Asks for early orders regarding repairs to the "Nur-ul-Bahr," and states that after more thorough investigation it appears that the estimate given will be exceeded.

The original copy of the detailed defect list and the estimate were sent to the Foreign Department with Marine Department No. 556-M., dated the 23rd April 1908. That Department may be asked unofficially to kindly advise what reply should be sent to the Director's present reference.

A. C. B.,—4-5-08.

S. C. B.,—4-5-08.

G. A. Robertson,—5-5-08.

Foreign Department.

Our file on the subject was sent to the Finance Department on the 30th April, recommending that the Government of India should bear the entire cost of the repairs to the steamer. As the estimate of the cost of the repairs is likely to be still further exceeded, we might ask the Marine Department kindly to furnish us with a copy of the later notes and correspondence officially, and to let us know the amount of the excess reported in the present telegram.

G. L. T.,—6-5-08.

A. R. Jelf,—7-5-08.

Please see Marine Department No. 437-M., dated 28th March 1908, which the Director, Royal Indian Marine, must have received after issue of his telegram. No action necessary. For information.

J. K.,—2-4-08.

W. H. F. Basevi,—3-4-08.

Promo 2454

TELEGRAM FROM DIRECTOR, ROYAL INDIAN MARINE, No. 170, RECEIVED 16TH APRIL 1908.

Reports that the cost of the repairs of the "Nur-ul-Bahr" is estimated at Rs. 10,510 exclusive of dock hire or commission.

Please see the notes from page 7 ante. The details promised may be awaited. In the meantime a copy of the telegram may be communicated to the Foreign Department.

J. K.,—16-4-08.

S. C. B.,—16-4-08.

W. H. F. Basevi,—16-4-08.

Promo 2455

TO FOREIGN DEPARTMENT, No. 528-M., DATED 22ND APRIL 1908.

Forwarding a copy of the above telegram.

Promo 2456

FROM DIRECTOR, ROYAL INDIAN MARINE, No. 2564, DATED 16TH (RECEIVED 20TH) APRIL 1908.

Forwards a detailed defect list and estimate in connection with the repairs to the "Nur-ul-Bahr."

Copy may be sent to the Foreign Department in continuation of Marine Department Memo. No. 528-M., dated 22nd April 1908.

J. K.,—22-4-08.

S. C. B.,—22-4-08.

W. H. F. Basevi,—14-3-08.

Foreign Department.

We may agree that an estimate of the cost of the repairs needed should be called for from the Director, Royal Indian Marine. The necessary reference will be made to the Comptroller-General on receipt of a copy of the notes and correspondence.

We may agree.

G. L. T.,—20-3-08.

J. H. Bill,—20-3-08.

Marine Department.

The Director, Royal Indian Marine, may be asked to submit a detailed estimate of the cost of the repairs needed to the *Nur-ul-Bahr* on her arrival at Bombay.

A. C. B.,—26-3-08.

S. C. B.,—26-3-08.

W. H. F. Basevi,—26-3-08.

Promo 2452

TO DIRECTOR, ROYAL INDIAN MARINE, No. 437-M., DATED 28TH MARCH 1908.

Copy to Foreign Department.

Promo 2453

TELEGRAM FROM DIRECTOR, ROYAL INDIAN MARINE, No. 148, DATED 30TH (RECEIVED 31ST) MARCH 1908.

Asks for early instructions with reference to his letter No. 1524, dated 5th March 1908, regarding repairs to the "Nur-ul-Bahr."

The reply to the telegram* should be that the matter is under consideration and that we should like to know at once how far the previous estimate is to be exceeded.

* Which is very obscure.

We should take a complete copy of the papers.

J. B. Wood,—7-5-08.

Marine Department.

The Director, Royal Indian Marine, may be wired to as in Mr. Wood's note, dated 7th May 1908.

A. C. B.,—8-5-08.

S. C. B.,—8-5-08.

G. A. Robertson,—9-5-08.

TELEGRAM TO DIRECTOR, ROYAL INDIAN MARINE, No. 664-M., DATED 9TH MAY 1908. *Dono 2459*

Copy to Foreign Department.

Enquires by how much the previous estimate for repairs to "Nur-ul-Bahr" is likely to be exceeded.

TELEGRAM FROM DIRECTOR, ROYAL INDIAN MARINE, No. 204, DATED 11TH (RECEIVED 12TH) MAY 1908. *Dono 2460*

States that the estimate of "Nur-ul-Bahr's" repairs is likely to be exceeded by Rs. 2,500.

The total expenditure which will be incurred on account of the repairs to "Nur-ul-Bahr" now amounts to Rs. 13,310. A copy of the telegram may be sent to the Foreign Department in continuation of Marine Department No. 664-M., dated 9th May 1908.

Rs.
10,810
2,500
13,310

A. C. B.,—12-5-05.

S. C. B.,—12-5-08.

W. H. F. Basevi,—12-5-08.

TO FOREIGN DEPARTMENT, No. 676-M., DATED 12TH MAY 1908. *Dono 2461*

Forwarding a copy of the Director's telegram.

[Extracts from Foreign Department notes.]

The original estimate of the cost of repairing the steamer was quoted † as Rs. 2,905, and it was recommended that the Government of India should defray the charge. Before the Government of India agree to bear this charge they required to be furnished with a reliable estimate of the probable cost which would be involved. Subsequently the Engineer of the "Perseus" estimated that the vessel could be put in thorough repair for Rs. 5,000. At that time it was stated that the Sultan could not afford more than Rs. 4,000, and, in consideration of the necessity for strengthening our influence with His Highness, in view of the forthcoming arms conference, the Government of India agreed to carry out the repairs free of cost up to the limit ‡ estimated by the Engineer of the "Perseus." The Marine Department, however, on the arrival of the vessel at Bombay, called for an estimate from the Director, Royal Indian Marine, and that officer's estimate amounts to Rs. 10,810.

† External A., February 1908, Nos. 144-151.

‡ We mentioned no limit. We said that we would carry out the repairs recommended by the Engineer free of cost.

J. B. Wood.

We may perhaps send the Political Resident a copy of the estimate furnished by the Director of the Royal Indian Marine, and ask whether he still recommends that the total cost of the necessary repairs should be defrayed by the Government of India, and whether all the items included should be treated as emergent repairs.

§ He would certainly recommend it, I think.

A. R. Jelf.

A.

Draft for approval.

G. L. D.,—25-4-08.

C. O'H. T.,—25-4-08.

The delay involved by the case proposed at A is, I think, prohibitive.

2. The repairs carried by the present estimate are those apparent or pointed out by the Ship's Officers as absolutely necessary. "It is of course very unsatisfactory that the former estimate* should be more than doubled; but the facts remain.

* Rs. 5,000.

3. We should, I think, adopt one of two courses.—

(a) Accept liability for the whole estimated cost.

(b) Telegraph to Major Cox that examination shows that the estimate of Rs. 5,000, should be raised by about Rs. 6,000, and ask whether the Sultan is prepared to meet any or all of the latter sum. If he declines to accept all, we shall have to consider whether we should direct the cost to be reduced proportionately; or ourselves meet the balance of the excess.

Repairs	...	...	Rs.
Dock hire and commissioning	...	...	10,810
			190†
			11,000
Total	...	...	5,000
Original	...	...	6,000
Excess	...	...	6,000

4. Course (a) appears to be the more dignified and, for political reasons (*vide* Secretary's note, dated 27th January 1907) the most desirable.

A. R. Jelf,—29-4-08.

The estimate made by the Engineer of the "Perseus" was evidently tentative and proved to be very wide of the mark.

I think that we are bound by the terms of our telegram of 11th February 1908 to pay the whole bill.

† They will pass on to Military Finance Department if this is the proper course. (See Mr. Brunyate's marginal note on page 5 of Collection A).

We may ask Finance† Department to concur.

J. B. Wood,—29-4-08.

In view of the importance of keeping the Sultan of Muscat on our side over this Arms traffic Rs. 10,810 will be well spent. As proposed.

S. H. Butler,—30-4-08.

* * * * *

The file may now be sent to the Finance Department.

G. L. D.,—30-4-08.

C. O'H. T.,—30-4-08.

A. R. Jelf,—30-4-08.

Finance Department.

The point is for consideration in the Military Finance Branch, as the charge will fall under 46-A.-Marine. That Branch is apparently inclined to accept this view. Please see page 7 of notes in Proceedings at slip A. This may be passed on to that Branch.

P. K. M.,—1-5-08.

G. H. P. Jackson,—1-5-08.

Military Finance Branch.

The case is stated in the office note, dated 25th April 1908 at page 9.

Although the Foreign Department telegram informing the Political Resident that Government would carry out the repairs required to the vessel, free of cost to the Sultan, did not quote any specific limit, it was generally understood that such repairs would not exceed Rs. 5,000.

The estimate† prepared by the Director of Indian Marine now exceeds this sum by about Rs. 6,000, and the Foreign Department recommend that the whole cost be borne by Government for the reasons stated in the Foreign Secretary's note, dated 30th April 1908.

† Present estimate Rs. 10,810 and it is reported that this will probably be exceeded.

In view of the terms of Foreign Department telegram, dated 11th February 1908 the proposal will perhaps be agreed to. (With reference to Secretary's marginal note at page 5 the Comptroller-General may be consulted regarding incidence of charge, after orders issue.)

W. C. G.,—4-5-08.

In view of telegram No. S.-88, Proceedings No. 150, there appears to be no alternative but to bear the whole cost.

F. deB. Young,—4-5-08.

Honourable Member in his note of 2nd February 1908 agreed to the repair of the Sultan of Maskat's vessel at a cost of Rs. 5,000 to be borne by Government. This estimate is now raised to 11,000. Our offer was communicated in the telegram referred to by Major Young above and its terms were unqualified. We have since been warmly thanked for it. We shall have to go through with it and pay the larger sum but Finance Department should let Military Supply Department see again.

J. B. Brunyate,—5-5-08.

* * * * *

ENDORSEMENT FROM THE GOVERNMENT OF INDIA, MARINE DEPARTMENT, No. 676-M., DATED 12TH (RECEIVED 13TH) MAY 1908.

Forwards a copy of a telegram from the Director of the Royal Indian Marine, stating that the original estimate is likely to be exceeded by Rs. 2,500.

This brings the total estimate on account of the repairs required up to Rs. 13,310.

The Military Finance Department may see again, and on return we may officially sanction the expenditure and Military Supply Department see draft before it issues.

G. L. T.,—16-5-08.

A. R. Jelf,—16-5-08.

The sanction will presumably be communicated to the Director, Royal Indian Marine, by the Marine Department. We may ask Military Finance Department to pass on the file to that Department if they agree to the extra expenditure.

J. B. Wood,—16-5-08.

When the case was last seen in this Department, the cost of repairs to the "Nur-ul-Bahr" was estimated at Rs. 10,810, but it had been reported that this estimate would probably be exceeded. The Director, Royal Indian Marine, now wires that the previous estimate is likely to be exceeded by Rs. 2,500. This Department will perhaps agree to the revised estimate of Rs. 13,310, but might ask that the actual cost of repairs should be reported in due course, for the information of Government.

W. C. G.,—19-5-08.

Please see above and page 22 Foreign.

F. de B. Young,—19-5-08.

Please see the notes from page 21.

The Director, Royal Indian Marine, may be informed by wire that repairs to the "Nur-ul-Bahr" at an estimated cost of Rs. 13,310 are sanctioned. He may also be asked to report, in due course, the actual cost of repairs.

The above telegram will be issued on the Marine Department File below and this file will then be returned to the Foreign Department.

G. C. B.,—20-5-08.

We agreed to meet the cost of these repairs if, after reference, it was decided to be properly debitable to this Department. We did so, however, in the belief that the cost would be Rs. 5,000. The cost, however, turned out to be over Rs. 13,000 and Secretary may wish to see the case before issue of orders, to decide whether we should still accept the charge.

W. H. F. Basevi,—20-5-08.

I think the telegram may be issued and the question then reopened as to whether Military or Civil Estimates should bear the cost.

E. W. S. K. Maconchy,—20-5-08.

C. H. S[cott],—21-5-08.

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 Prons 2462 TELEGRAM TO THE DIRECTOR ; ROYAL INDIAN MARINE, NO. 728-M., DATED 21ST MAY 1908.

Request him to report the actual cost incurred.

The question of the incidence of the charge will be considered on the Marine Department file below. This file may be returned to the Foreign Department.

S. C. B.,—22-5-08.

Resubmitted with reference to the question of the incidence of the charge.

2. It will be seen from the Finance Department notes on page 5 *ante* that that Department was of opinion that the question of the incidence of the charge should be left to the decision of the Comptroller-General. Major Robertson, who was then officiating as Secretary, said that the Marine Department would accept the charge if it was properly debitable to Marine. The charge, however, at that time was known to be only Rs. 5,000, whereas it is now estimated at Rs. 13,310, and it is for consideration whether this increase should affect the previous arrangement.

3. The Foreign Department does not appear to have made the proposed reference to the Comptroller-General ; but perhaps the Finance Department would desire to make it—*vide* Finance Department office note dated 4th May 1908. The file may be sent to the Finance Department for favour of remarks with reference to the point at above and for the proposed reference to the Comptroller-General.

S.C.B.,—28-5-08.

W. H. F. Basevi,—29-5-08.

This Rs. 13,000 does not appear to me to be a fair charge against the military estimates.

E. W. S. K. Maconchy,—1-6-08.

Finance Department (Military Finance).

With reference to Secretary's note dated 1st February 1908 at page 5, the Comptroller-General may be asked kindly to advise regarding the incidence of the expenditure.

W. C. G.,—5-6-08.

F. de B. Young,—5-6-08.

Comptroller-General.

I think in this case that the proper course is for the Marine Department in which the expenditure is incurred to finally bear the charge. It is true that dockyards expenditure is recovered in certain cases from Local Governments and Departments on whose behalf the work is carried out, but the present case is different. The expenditure is on behalf of a foreign Government from whom no recovery will be effected and I do not think that the mere fact that it has been agreed to from political considerations, is sufficient to warrant its being taken to a head other than that pertaining to the Department in which it is being incurred. I would therefore debit Marine.

O. T. Barrow,—16-6-08.

Finance (Military) Department.

The file may now be returned to the Marine Department.

W. C. G.,—24-6-08.

F. de B. Young,—24-6-08.

Marine Department.

Please see the Comptroller-General's note dated 16th June 1908, in which he gives his opinion that the Marine estimate should bear the entire cost of repairs to the Sultan's steamer "Nur-ul-Bahr." The Foreign Department may see unofficially for information. Orders regarding the incidence of the charge will be issued on receipt of the Director's report of the actual cost incurred.

A. C. B.,—29-6-08.

S. C. B.,—29-6-08.

W. H. F. Basevi,—30-6-08.

Ask the Director, Royal Indian Marine, first* if he can meet the charge from his ordinary budget provision, informing him that the charge is against "Marine."

* By wire.

E. W. S. K. Maconchy,—1-7-08.

Remark on draft telegram.

Amended as ordered by Secretary.

W. H. F. Basevi,—1-7-08.

TELEGRAM TO THE DIRECTOR, ROYAL INDIAN MARINE, No. 906-M., DATED 1ST JULY 1908. *Provo 2463*

States that the charge should be met from his ordinary Budget Provision.

FROM EXAMINER, MARINE ACCOUNTS, No. 102, DATED 22ND (RECEIVED 25) JULY 1908. *Provo 2464*

Inquires whether the cost of repairs to the "Nur-ul-Bahr" should be met from provision under Royal Indian Marine or from that for local Governments and departments.

Please see the notes on page 12. The Examiner may be informed that no recovery is to be effected, and that the amount is to be met from the Royal Indian Marine? Finance Department may see before the reply is sent. In the concluding portion of his letter the Examiner refers to a communication addressed to the Military Accountant General.

J. K.,—3-8-08.

S. C. B.,—3-8-08.

W. H. F. Basevi,—4-8-08.

Finance Department (M. F.).

Seen in Finance Department (M. F.). The reply to the Examiner of Marine Accounts, proposed in Military Supply Department office note dated 3rd August 1908, is in accordance with the views of the Comptroller-General, *vide* his note dated 16th June 1908 on page 12.

2. Military Accountant General may see with reference to paragraph 2 of the Examiner's letter.

A. B. G.,—8-8-08.

W. C. G.,—10-8-08.

W. C. Ashmore,—10-8-08.

Military Accountant-General.

Seen.

In the statement of modifications to the Marine Budget estimate for 1908-09, sent to me with the Director's letter No. 4194 of 30th June 1908, quoted by the Examiner, the cost of repairs of the steamer in question was correctly provided by the Director under "Royal Indian Marine," and this has been accepted,

B. W. Marlow,—18-8-08.

Finance Department (M. F.).

Please see this Department note dated 10th August 1908 and Military Accountant-General's note dated 18th August 1908 on page 13. File may now be returned to the Marine Department.

A. B. G.,—21-8-08.

W. C. G.,—22-8-08.

W. C. Ashmore,—24-8-08.

Marine Department.

The Examiner may be replied to as on page 13 of the notes *ante*?

J. K.,—25-8-08.

S. C. B.,—25-8-08.

W. H. F. Basevi,—26-8-08.

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Dno 2465-

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TO EXAMINER, MARINE ACCOUNTS, No. 1232-M., DATED 1ST SEPTEMBER 1908.
Copy to others.

States that no recovery is to be effected and that the expenditure connected with the "Nur-ul-Bahr" is to be met from the Royal Indian Marine estimates.

Dno 2466

FROM THE DIRECTOR, ROYAL INDIAN MARINE, No. 280, DATED AND RECEIVED 24TH AUGUST 1908.

Enquires whether any departmental charges are to be made for certain alterations that have been carried out to His Highness the Sultan of Muscat's steamer "Nur-ul-Bahr" at his request and at his expense.

The connected papers were sent unofficially to the Finance Department on the 5th August 1908 and have not been received yet. The present question may be referred unofficially to the Foreign Department for favour of remarks.

A. C. B.,—24-8-08.

It will be seen from pages 1 and 2 of the printed notes below that originally Paragraph 169, Marine Regulations, Volume I, this Department held that the departmental charge of 25 per cent. on the cost of repairs should not be waived. Since then, however, it has been decided to repair the vessel free of cost, and on the advice of the Comptroller-General this department have agreed to debit the charge (Rs. 13,310) to the Marine estimates. In these circumstances the departmental charge* on the alterations for which the Sultan is paying may perhaps be waived with the concurrence of the Finance Department? The Foreign Department may first see as suggested above.

S. C. B.,—24-8-08.

As the cost falls on Marine Department, the point about waiving departmental charges appears to be for us to settle in consultation with Finance Department. It seems to call for early settlement as the Sultan may not be so willing to pay later on.

W. H. F. Basevi,—24-8-08.

We may agree to waive the departmental charges, Rs. 325, as it is a small amount.

E. W. S. K. Macconchy,—24-8-08.

C. H. S(cott),—25-8-08.

Finance Department may be asked to concur.

W. H. F. Basevi,—25-8-08.

Finance Department (M. F.).

This department agreed, on the recommendation of the Foreign and Marine Departments, to the Sultan of Maskat's steamer being overhauled and repaired in the Bombay Dockyard, at a cost of about Rs. 13,310, at the expense of the Government of India, as a personal concession to the Sultan.

2. It now appears that the Sultan has asked that certain alterations be made, and was informed this would cost Rs. 1,300, which he is willing to pay. This estimate did not include the usual departmental charge of 25 per cent., and we are now asked to agree to this being waived.

3. As it is improbable that the alterations involved any increase of establishment, etc., we may agree to the departmental charge being waived.

W. C. Ashmore,—26-8-08.

This department agrees to waive the 25 per cent. departmental charge on Rs. 1,300.

F. deB. Young,—26-8-08.

Marine Department.

The Director of the Royal Indian Marine may be informed accordingly by wire.
S. C. B.,—27-8-08.

W. H. F. Basevi,—27-8-08.

TELEGRAM TO THE DIRECTOR, ROYAL INDIAN MARINE, No. 1209-M., DATED 27TH AUGUST 1908; COPY TO OTHERS.

FROM THE DIRECTOR, ROYAL INDIAN MARINE, No. 5533, DATED 29TH (RECEIVED 31ST) AUGUST 1908.

Reports the circumstances in which he was obliged to wire to Government in connection with departmental charges on certain alterations to the "Nur-ul-Bahr."

This is a report against the Examiner of Marine Accounts. No action need perhaps be taken, but Finance Department may see?

J. K.,—3-9-08.

The Examiner's action in insisting upon a reference to Government before the departmental commission laid down in the regulations could be waived, was not perhaps wrong. But he might have, as the Director contends, done this soon after the receipt of the latter's letter of the 16th July. This is another instance of friction between the Director and the Examiner.

S. C. B.,—3-9-08.

Though the Examiner's action in requiring authority to waive departmental charges was correct, it was discourteous of him to delay replying for nearly five weeks. Still, the Director, Royal Indian Marine, had an opportunity (which he missed) of putting himself in the right by applying sooner for Government sanction—*vide* paragraph 3 of his letter.

The letter needs no reply, but the case might go to Finance Department for information as they ought to know that friction exists.

W. H. F. Basevi,—4-9-08.

Secretary wishes this to be sent to Military Accountant-General, who has several other cases with him now which indicate that friction exists.

W. H. F. Basevi,—9-9-08.

Military Accountant-General.

I regret to note that friction exists between the Director, Royal Indian Marine, and the Examiner of Marine Accounts, but in fairness to the Examiner I must add that he does not seem wholly to blame in the matter. I will write to Captain Dudgeon demi-officially on the subject.

B. W. Marlow,—16-9-08.

Marine Department.

For information.

S. C. B.,—19-9-08.

W. H. F. Basevi,—22-9-08.

E. W. S. K. Maconchy,—23-9-08.

Seen.

C. H. S(cott),—24-9-08.

Pro. No. 2469. FROM THE DIRECTOR OF THE ROYAL INDIAN MARINE, No. 6369, DATED 9TH (RECEIVED 12TH) OCTOBER 1908.

*States that the actual cost of repairs to the "Nur-ul-Bahr" amounts to Rs. 15,877-2-1, thereby exceeding the sanctioned * estimate by Rs. 2,567-2-1 and requests sanction to the excess expenditure.*

* Rs. 13,310.

In the circumstances the excess expenditure of Rs. 2,567-2-1 may be sanctioned, after Foreign and Finance Departments have seen.

J. K.,—15-10-08.

S. C. B.,—15-10-08.

W. H. F. BASEVI,—16-10-08.

The original estimate was for Rs. 2,905. This has now mounted up to nearly Rs. 16,000 which we are apparently bound to accept as a charge against military estimates.

The object is to remove a disagreeable impression from the mind of the Sultan of Muscat.

E. W. S. K. MACONCHY,—19-10-08.

C. H. S[COTT],—20-10-08.

Foreign Department may see and be asked to pass the case to Finance Department (Military Finance) with reference to Major Young's note of 19th May 1908.

W. H. F. BASEVI,—20-10-08.

Foreign Department.

Seen in the Foreign Department.

C. H. H.,—26-10-08.

D. A. C.,—26-10-08.

H. D. FRASER,—27-10-08.

J. B. WOOD,—27-10-08.

Finance Department (Military Finance).

With reference to Deputy Secretary's note dated 19th May 1908, the Director of the Royal Indian Marine now reports that the actual cost of repairs to the Sultan of Muscat's steamer *Nur-ul-Bahr* amounts to Rs. 15,877-2-1, thereby exceeding the sanctioned estimate of Rs. 13,310 by Rs. 2,567-2-1. This excess is due to certain further renewals to the vessel found to be absolutely necessary. This Department may agree to the excess expenditure being sanctioned.

A. T. B.,—31-10-08.

W. C. G.,—3-11-08;

W. C. ASHMORE,—3-11-08.

We have no alternative but to accept the charge. We can only hope that no further expenditure will be necessary and that this is the final estimate.

F. DEB. YOUNG,—3-11-08.

Department of Military Supply.

The excess expenditure of Rs. 2,567-2-1 may now be sanctioned.

J. K.,—6-11-08.

S. C. B.,—6-11-08.

W. H. F. BASEVI,—11-11-08.

Pro. No. 2470. TO THE DIRECTOR OF THE ROYAL INDIAN MARINE, No. 1578-M, DATED 16TH NOVEMBER 1908.

COPY TO OTHERS.

As above.

References to later cases.

Branch, date and Nos.	Brief title of file.